

In Value investing, the investor believes that:

- The market price of a stock increases from Rs 100 to Rs 120.
- Since their initial investment was of Rs. 60 that grew to Rs 120, it will help them gain higher profits.

Value Investing: Buy companies at lower prices in terms of value.

Growth Investing: Purchase over-priced companies with an expectation of rapid growth within 2-3 years.

	0%	2%	4%	6%	8%	10%	12%	14%	16%
10	-21%	-19%	-17%	-16%	-14%	-13%	-11%	-10%	-8%
12.5	-15%	-13%	-11%	-9%	-8%	-6%	-4%	-3%	-1%
15	-9%	-7%	-6%	4%	-2%	0%	2%	4%	5%
17.5	4%	-2%	-1%	1%	3%	5%	7%	9%	11%
20	0%	2%	4%	6%	8%	10%	12%	14%	16%
22.5	4%	6%	8%	10%	12%	14%	16%	19%	21%
25	8%	10%	12%	14%	25	18%	21%	23%	25%

Y-axis= Value Investor

X axis= Growth investor

In the case of Value Investing

Investors will try to buy low P/E companies and expect an exit at a higher P/E and thus earn from P/E re-rating even if the growth is low.

Even if the thesis fails, they are protected from the downside as they are not overpaying and will have an opportunity to exit without incurring significant losses.

In the case of Growth Investing

The investor is comfortable to buy a high P/E stock, if they think that EPS growth will be really high.

Here they will buy stocks with high P/E as well and benefit from EPS growth. However, the downside is also significant as they are buying expensive.

The general thought process of a value investor would be lower in terms of earnings growth and higher in terms of p/e re-rating.

For the growth investor, the growth in the share of EPS is the main priority.